

INDEPENDENT BUSINESS TEARDOWN

Spotify

How it acquires, converts, and retains customers — reverse-engineered from primary filings, official disclosures, and a fact-checked research process.

777M

MONTHLY ACTIVE USERS

300M

PAYING SUBSCRIBERS

~€19B

ANNUALIZED REVENUE RUN-RATE

September 2026 · Sourced from SEC filings, Spotify IR & Newsroom

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A subscription business with an advertising side note

01

Who actually pays

Listeners — free and Premium — plus advertisers buying access to the free-tier audience. Labels and publishers are suppliers, paid via royalties, not customers.

02

Why they pay

One subscription unlocks the global catalog. The real differentiator is personalization — Discover Weekly, Wrapped — not the catalog itself.

03

How it's priced

A free tier funnels into Individual, Duo, Family, and Student plans, each priced to local purchasing power.

Revenue mix — FY2025 (full year, not a single seasonal quarter)

Premium — 89%

Ads 11%

Growing at scale, not just recovering

MONTHLY ACTIVE USERS

777M

+12% YoY

16M net adds this quarter

PREMIUM SUBSCRIBERS

300M

+9% YoY

Crossed 300M for the first time

TOTAL REVENUE

€4.78B

+14% YoY

+15% at constant currency

PREMIUM ARPU

€4.89

+7% YoY

Price increases + tier mix, not just subs

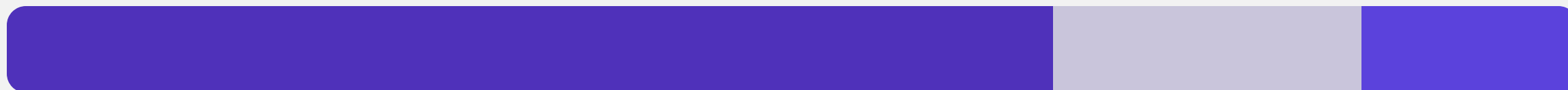
"New Premium Subscribers are sourced primarily from the conversion of Ad-Supported Users to Premium Subscribers."

— Spotify, FY2025 2Q-F

Efficient where Spotify controls the mechanics

METRIC	VALUE	YOY	CONFIDENCE
Free-to-Paid Conversion	38.6%	~flat	Calculated, official data
Gross Margin (blended)	33.4%	+193 bps	Company-disclosed
Operating Margin	13.7%	Beat guidance	Company-disclosed
Free Cash Flow	€797M / €3.3B LTM	—	Company-disclosed
Net Income	€545M	vs -€86M loss	Company-disclosed
Premium Churn	~3.5% (est.)	Improving	<i>Not disclosed by Spotify</i>

Where the money actually goes



■ Cost of revenue — 66.6% ■ Operating costs — 19.7% ■ Operating income — 13.7%

Royalties are paid pro-rata on streamshare — Spotify has limited pricing leverage over its single biggest cost line. Premium cost of revenue specifically has fallen from **68% to 65%** of Premium revenue since 2024, driven by price increases, a shift toward higher-margin audiobooks/podcasts, and marketplace programs like Discovery Mode.

The right benchmark isn't SaaS

33.4%

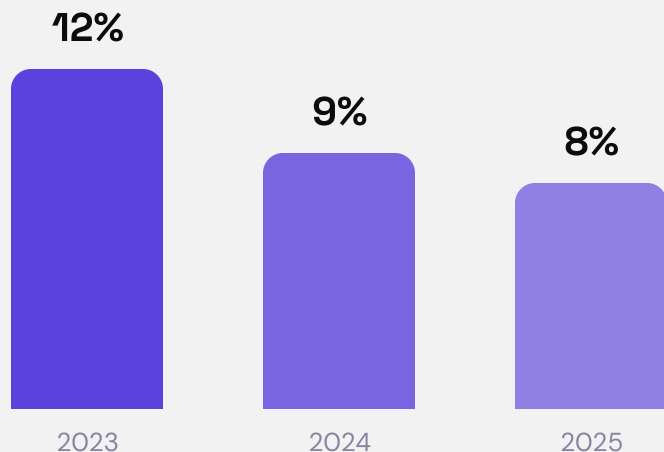
NETFLIX OPERATING MARGIN

13.7%

SPOTIFY OPERATING MARGIN

Netflix owns more of its own content and negotiates licensing on its own terms — a ~2.4x margin gap that's structural, not a rounding error.

Spending less on marketing, not more



S&M as % of revenue — falling for three straight years. Netflix, a similarly-scaled peer, runs ~6–7% and rising.

1

The free tier is the channel

777M MAU sit inside the product already — no attention needs to be bought to start the funnel.

2

Brand does the reach paid media would buy

CFO: users act as "hundreds of millions of passionate ambassadors."

3

Distribution partnerships embed the product into purchases already happening

e.g. Vodafone Idea (India, 2026): 3 months free Premium bundled into phone plans.

4

Marketing is a disciplined, flexible lever

Tracked via SAC:LTV; spend flexes 2–3x in a quarter only when the ratio justifies it.

Conversion happens inside the free tier, not outside it

"New Premium Subscribers are sourced primarily from the conversion of Ad-Supported Users to Premium Subscribers."

— Spotify, FY2025 20-F

01

Bi-annual free trial campaigns

Named by Spotify as the primary growth driver for new subscribers — a no-risk trial window aimed at existing free users, targeted using their own listening history.

02

Calibrated feature-gating

Ads, no offline, lower quality — but a friction dial, not a one-way ratchet. An 18-month test found loosening the shuffle restriction improved both retention *and* conversion.

03

Family / Duo / Student pricing

Price discrimination by household size and life stage — officially credited with improving both conversion and retention.

Wrapped: the biggest media moment Spotify never buys

200M

engaged users in 24 hours (2025) — its fastest ramp ever; 2024 took 62 hours to reach the same mark.

500M

shares in 24 hours — each one a zero-CAC impression in front of the sharer's own network.

Personalization (it's about you) + social currency (your taste is your identity) + annual scarcity (once a year, then gone) — stacked on data Spotify already has, at near-zero marginal cost.

Spotify does not disclose a churn rate. The link between Wrapped and reduced churn is a logical mechanism from timing and engagement data — not an independently measured fact.

WHAT WE'D LEARN

Four ideas worth stealing

01 **Make the free tier the acquisition channel, not a side motion**
Instrument conversion inside the product, not around it with ads.

02 **Let data reduce friction, don't just add it**
Spotify's own test found removing a restriction grew both retention and conversion.

03 **Turn your usage data into a shareable ritual**
500M organic shares in 24 hours, at near-zero marginal cost.

04 **Know whether your margin ceiling is structural or operational**
Before trying to fix it with the wrong lever.

SOURCES & METHODOLOGY

Every figure traces back to a primary filing or an official Spotify statement

- SEC 20-F / 6-K filings — Spotify & Netflix (comparables)
- Spotify Q2 2026 Shareholder Deck & earnings calls
- Spotify Newsroom — Wrapped 2025, Investor Day 2026
- Music Business Worldwide / Digital Music News — partnership confirmations
- eMarketer — digital ad market benchmark
- Third-party estimates (churn, DAU lift) — labeled and caveated throughout

Estimates without a primary source are labeled as such throughout — never presented with the same confidence as a filing.